

Generative AI's Act Two

From Technology Hammer to Real Value

For venture capital investors and startup founders evaluating generative AI opportunities



2 decades



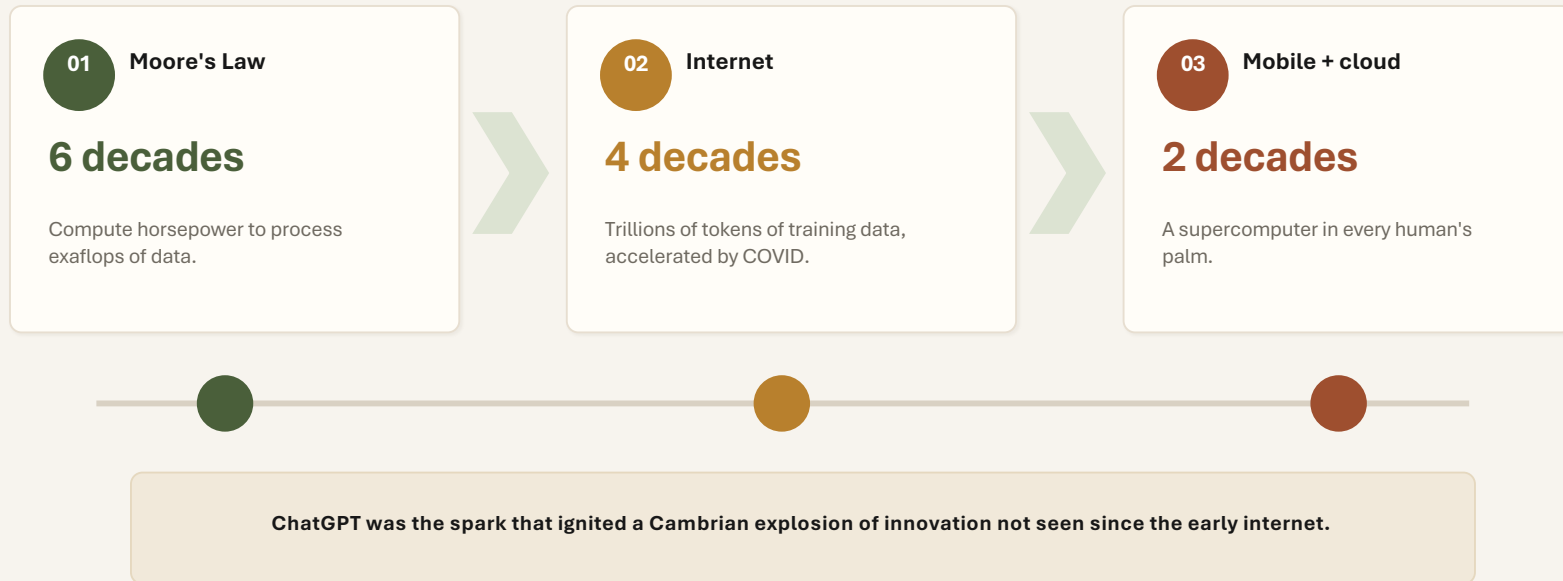
6 decades



4 decades

Six Decades of Technological Progress Converged

Generative AI was enabled by accumulated compute, data, and distribution infrastructure.



GenAI Startups Surpassed \$1B Revenue Faster Than SaaS

Commercial demand emerged quickly even as skepticism mounted around retention and defensibility.

>\$1B

Revenue from startups alone

A milestone SaaS took years, not months, to reach.

11

Midjourney team size

Reported hundreds of millions of dollars in revenue.

2 hrs

Character.ai avg. session

AI entertainment and companionship as a standout use case.

ChatGPT

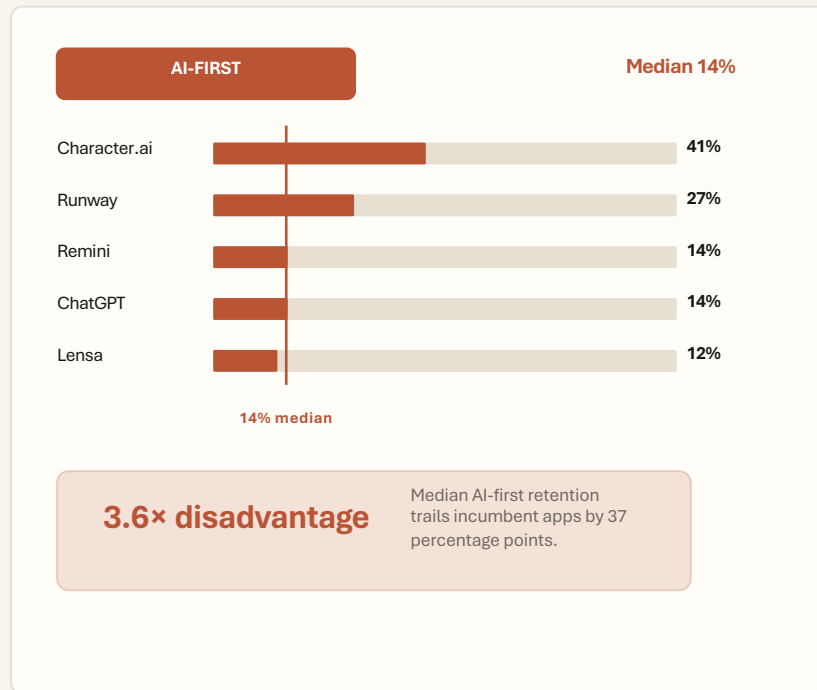
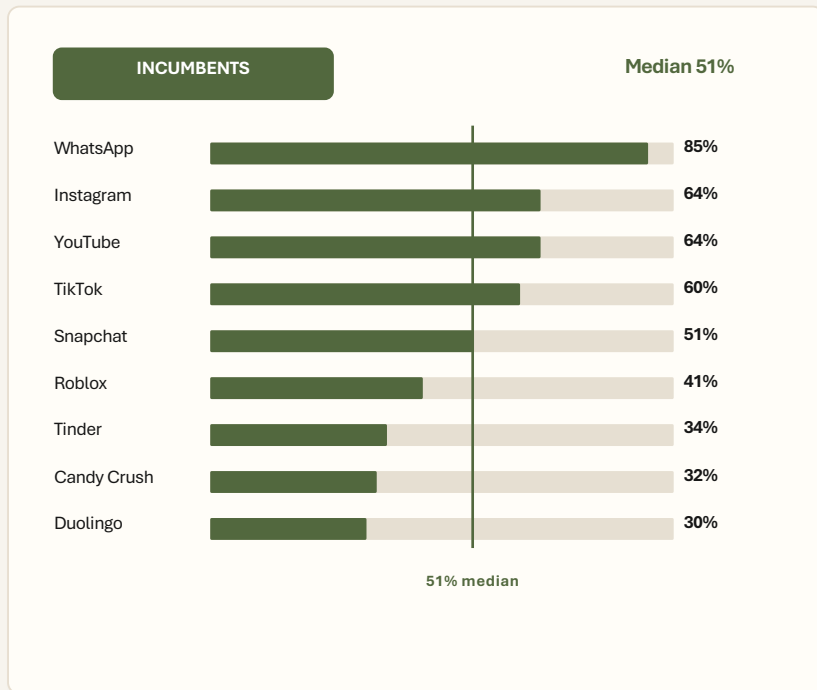
Fastest-growing application in history; strong product-market fit among students and developers.

But traction ≠ durable PMF

Many AI companies still lack product-market fit or sustainable competitive advantage.

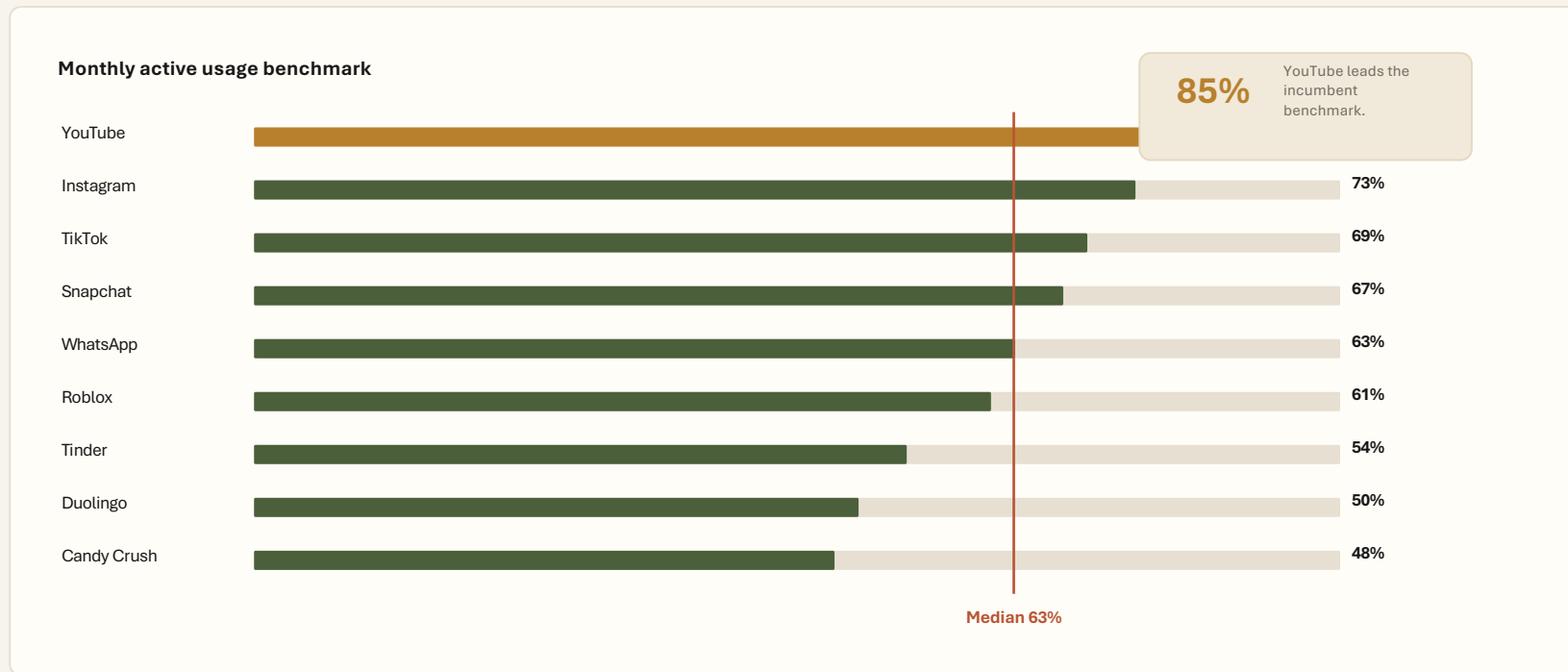
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention data reveals the central Act 1 problem: impressive demos are not yet sticky habits.



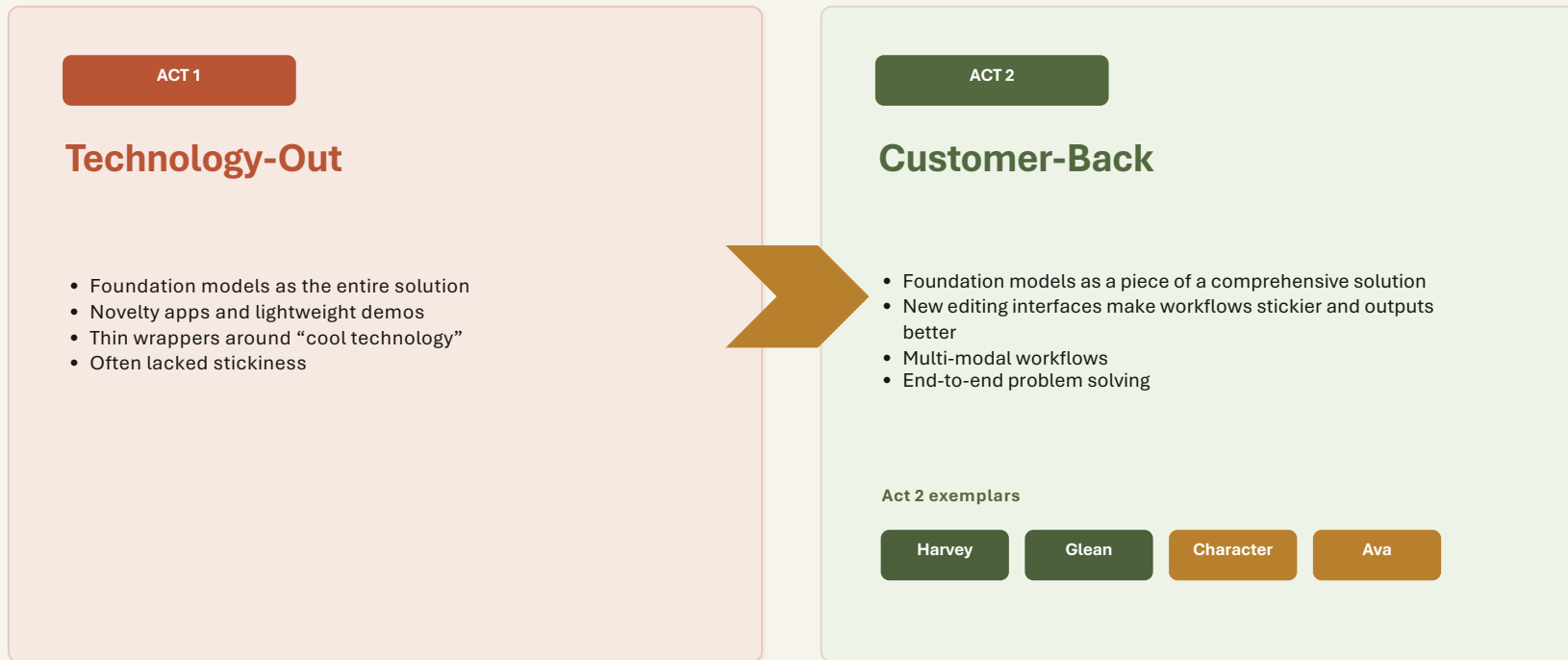
YouTube Leads Incumbents at 85% Monthly Active Usage

A separate incumbent benchmark shows the engagement bar AI apps must clear.



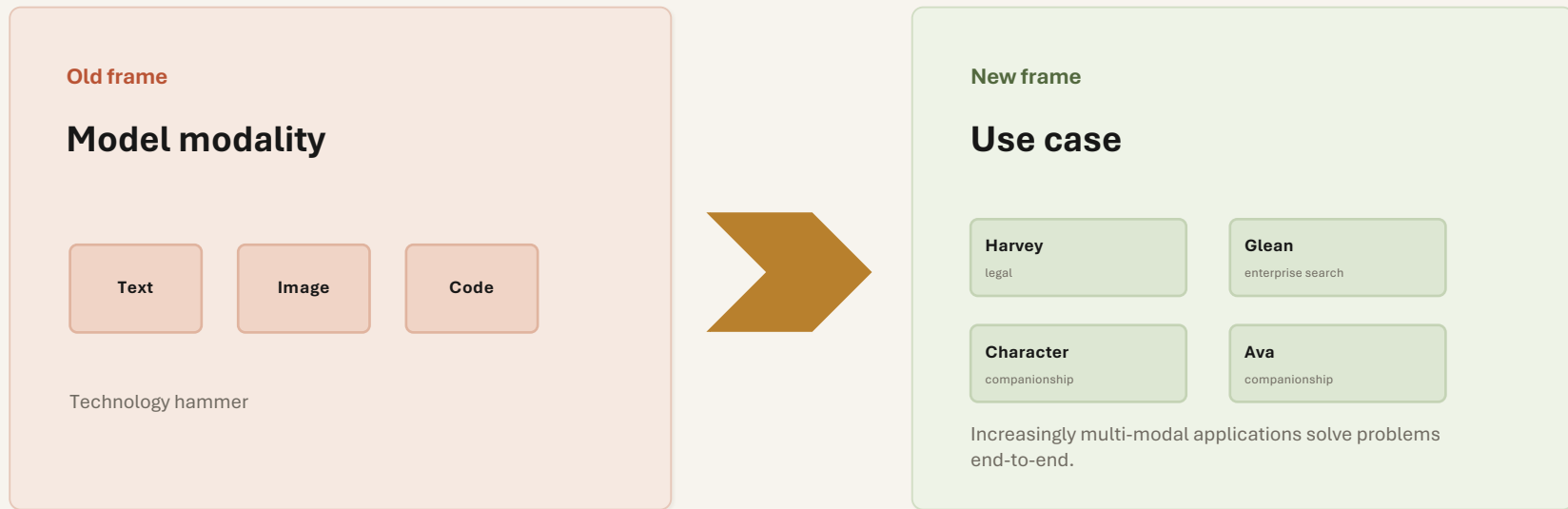
Act 1 Was Technology-Out; Act 2 Is Customer-Back

The shift is from thin wrappers around model novelty to end-to-end solutions for human problems.



Market Map Reorganized by Use Case, Not Model Modality

Sequoia's structure mirrors the Act 1 to Act 2 transition: value delivery now organizes the map.



Key Takeaways

What separates winners in Act Two

01

Retention is the critical challenge

AI-first apps show 14% median retention vs. 51% for incumbents.

02

Models are a component

Foundation models should be a piece of a comprehensive solution, not the whole product.

03

Workflow integration matters

New editing interfaces, multi-modal workflows, and end-to-end problem solving define Act 2.

04

Demand is real

The >\$1B startup revenue milestone proves demand exists despite hype-cycle skepticism.

05

Customer-back wins

Companies solving end-to-end human problems will define Act 2.